

DEPOSITS



STRATEGY

We deliver a range of deposit and savings solutions, enabling customers to capitalise on market opportunities to boost their financial capacity. We also focus on fostering enduring customer relationships through personalised service, prompt resolution of issues, and providing incentives to nurture customer loyalty.

CORE COMPETENCIES

- High returns on investment
- Customised solutions catering to individual customer requirements
- Wide multi-channel network for easy accessibility through digital mediums
- Exceptional service, quick response time, and ongoing assistance

PERFORMANCE HIGHLIGHTS

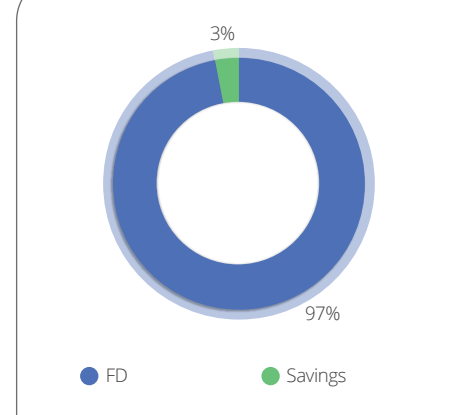
DEPOSIT BASE
Rs. 122.80 Bn
(2022/23- Rs. 114.01 Bn)

GROWTH RATIO
8%
(2022/23- 28%)

PRODUCT PORTFOLIO



Deposits Base Mix



SWOT ANALYSIS

Strengths

- Expansive physical and digital presence
- Strong reputation
- Financial stability
- Exceptional customer service

Weaknesses

- Non-availability of own ATM network
- Underutilisation of cross-selling opportunities

Opportunities

- Automation and digitisation to enhance customer experience
- Further reduction in cost of funds through savings mobilisation

Threats

- Macroeconomic vulnerabilities
- Intense competition
- Ad-hoc monetary policy changes
- Influence from informal market establishments

FIXED DEPOSITS

Fixed Deposits Base



Operating Context and Strategy

The deposit base recorded healthy growth during FY 2023/24 irrespective of the decline in interest rates. Moreover, the implementation of a new tax policy by the government deterred customers from mobilising deposits by turning to alternative investments. This trend posed challenges in maintaining our deposit portfolio during FY 2023/24. Despite these challenges, our focus was on maintaining and growing our deposit base.

Anticipating a decline in interest rates, we exercised caution in accepting high-cost, long-term deposits, enabling a swifter downward re-pricing of the fixed deposit base as rates decreased starting in April 2023. The ad hoc policy changes posed challenges in retaining and maintaining the flow of deposits. To overcome these challenges, we customised our approach to address specific requirements, ensuring the stability of our deposit base while reducing interest costs. During periods of interest rate hikes, we introduced new deposit products to attract customers. Additionally, we concentrated on short-term deposit options, adjusting rates accordingly to align with customer preferences. Our efforts yielded positive results, recording an 81% renewal ratio. Moreover, in the declining interest rate trend during the year, we repriced our deposit base quickly responding to the market rate movements.

We conducted seasonal campaigns leveraging our branch network to mobilise deposits.

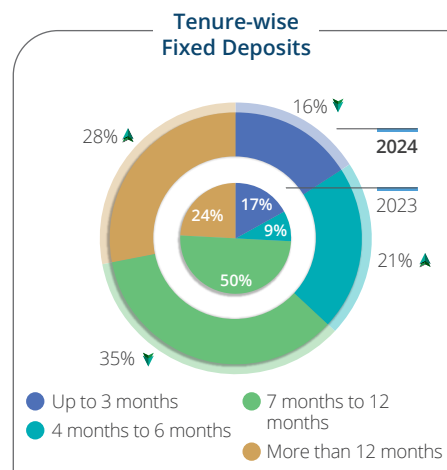
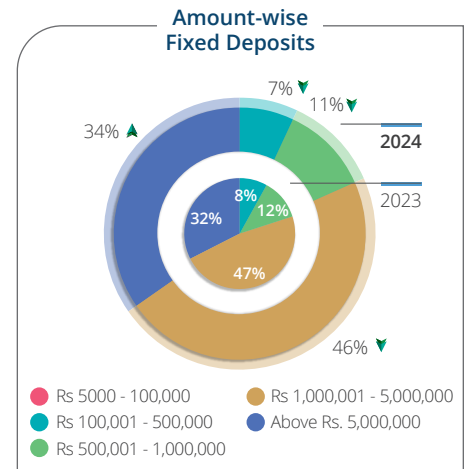
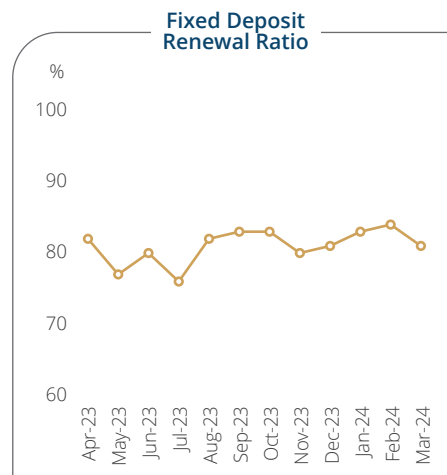
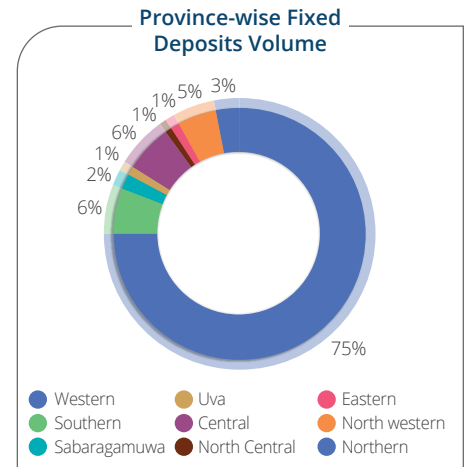
Along with the increased trend in digital intervention to the business processes, we strategically promoted our CIM app as a convenient and accessible digital solution for deposit mobilisation. This approach leverages technology to grow our deposit base, aligning with customer preferences for a seamless and efficient financial experience.

In response to the challenge of staff turnover, we promoted our CIM app to encourage deposit mobilisation, leveraging its accessibility and

convenience to grow our deposit base. By embracing digital solutions, we foster sustainable business practices that streamline processes and enhance customer engagement.

Performance

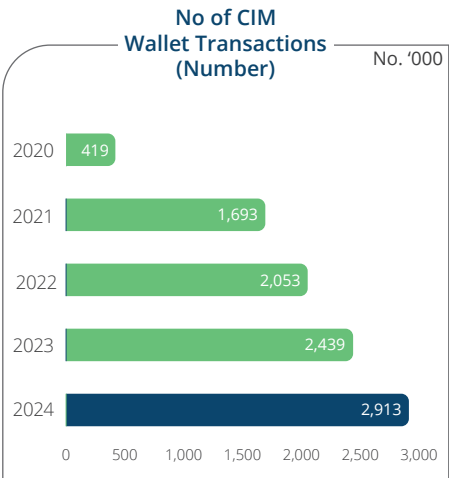
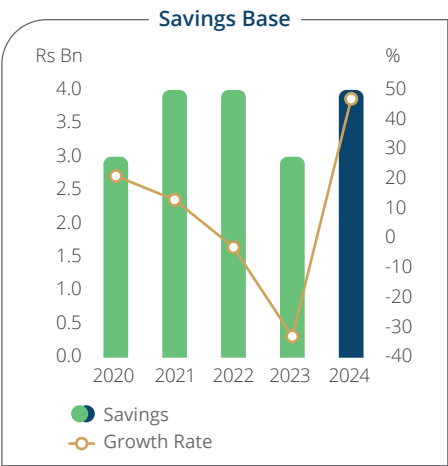
The Fixed Deposit (FD) base expanded by 7%, while including savings, the growth reached 8%. The Fixed Deposit renewal ratio was maintained above 75%, which is a testament to the Company's ability to retain its existing customers and sustain their trust and satisfaction over the years. In terms of tenure, 72% of our deposits were within the 1 month to 1-year range, while 28% extended over 1 year to 5 years.



BUSINESS REVIEW

DEPOSITS

SAVINGS



Customer loyalty services for our depositors

We are in the process of digitising our manual deposit process to streamline operations and offer enhanced customer convenience. Through our CIM app, we seamlessly onboard customers, providing access to a comprehensive suite of financial services. Customers are enabled to apply and obtain a loan in just 10 minutes. This not only addresses their immediate financial requirements efficiently but also nurtures customer loyalty through the delivery of fast and convenient solutions.

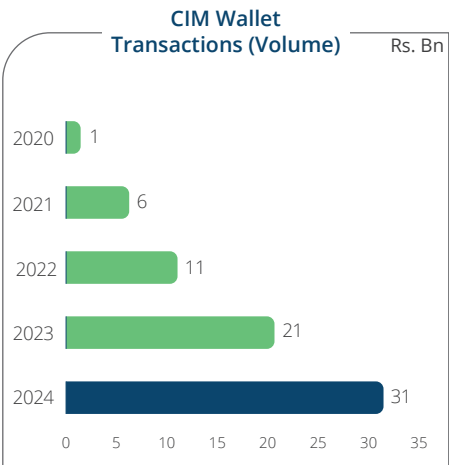
Operating Context and Strategy

Furthermore, by leveraging our LB CIM wallet, we onboarded new customers and promoted digital accounts, enhancing accessibility and convenience for our savers. Moreover, promotions were conducted within our branch network, providing attractive incentives to save and invest.

Performance

We shifted our focus during FY 2023/24 to increase our savings portfolio. As a result, we achieved a remarkable savings portfolio growth of 47% YoY, amounting to Rs. 3.7 Bn.

The number of CIM wallet transactions grew by 19% while over 50,000 new customers were onboarded.



We have also maintained customer loyalty through several key strategies:

- Building strong rapport with customers through our branch network nurturing strong customer relationships that foster trust and loyalty
- Focusing on customer acquisition, in addition to retaining existing customers to ensure sustainable growth
- Encouraging repeat business by tracking our depositors and encouraging them to return for more transactions

	Short-term	Medium-term	Long-term
Objectives and goals	The digitalisation of deposit products via the LB CIM app aims to streamline and enhance customer experiences	Expanding the channels through which customers can be onboarded is essential for enhancing accessibility, convenience, and engagement	Focusing on user-friendly design, personalised services, and robust support systems
Related strategic pillars			
Related material matters			
Related stakeholders			
SDGs impact	8, 12	9, 11	9, 12